

the Consumer Price index updated to the present. These three graphs show that the lesser rate of money supply growth since the early 1980s has slowed the trend of rising prices. These charts, along with Figure 18-5, which shows lower highs in the price of raw commodities since 1980, reveal that each burst of reflationary pressure since 1982 has been *less intense*. Lessening intensity is a classic precursor to trend change, as discussed in Chapter 9.

A study of Figure 14-5 is particularly instructive in revealing that the same action in the rate of price change in the PPI that occurred from 1917 to 1929 has occurred from 1974 to the present. Both periods began at a peak rate of change for the PPI. After a decline, the rate returned to a lower peak at the same time that the rate of change on the CPI reached a higher peak. This divergence ushered in a period of slackening in the upside rate of change of prices, which in the last few years of both periods fluctuated around the zero line. The slowing of rise in the first period ended in 1929 and rapidly gave way to deflation and depression. Although precise timing is not necessarily implied, the rate of change indicator stands today exactly where it did in 1929. Once again, the money supply and prices are poised for a trend reversal of at least Supercycle degree.

Now for one last crucial thought. Not only is it true that uptrends in the stock market, monetary phenomena and the economy slow before they reverse, but the degree of the slowing reflects the degree of the coming reversal. Is it not then potentially of great importance that the upside rate of change achieved in 1974/1980 is less than that achieved in 1917/1920? The dashed lines in Figure 14-5 indicate a slowing of the peak rates of price change over this entire century. This long term slowing implies a trend reversal not just of Supercycle degree, then, but of Grand Supercycle degree.

Investment Markets Reflect Liquidity Flows

This lessening rate of growth in the money supply has had consequences not only for the prices of industrial and consumer *goods*, but for the prices of *investments* as well. Review Figure 9-3 and recall that in the stock market, each advance following the 1983 kickoff generated a *lesser upside momentum*. Now look forward to Figure 17-5 and observe that starting in 1980 when the disinflation began, each peak in gold (and silver as well, not shown) was *lower* than the previous peak. Like the prices for goods, then, the prices for investment markets, both physical and paper, subtly reveal the